Worse, say you have invested all your savings in a PPF account. You can't withdraw those funds before 5 years and an emergency happens in the 4th year. Here, despite having savings, you might end up taking out a loan to fund your expenses.

That's where having an emergency fund with liquid funds means you won't need to touch your long-term investments or get a high-interest personal loan, and also have peace of mind and financial stability during hard times.